

Bharat Heavy Electricals Limited | Industrials | FY 2024-03

BHEL | Nifty 100 Investment Tearsheet

23,893

Revenue (Rs Cr)

282.0

Net Profit (Rs Cr)

3.0

Operating Margin (%)

1.2

Return on Equity (%)

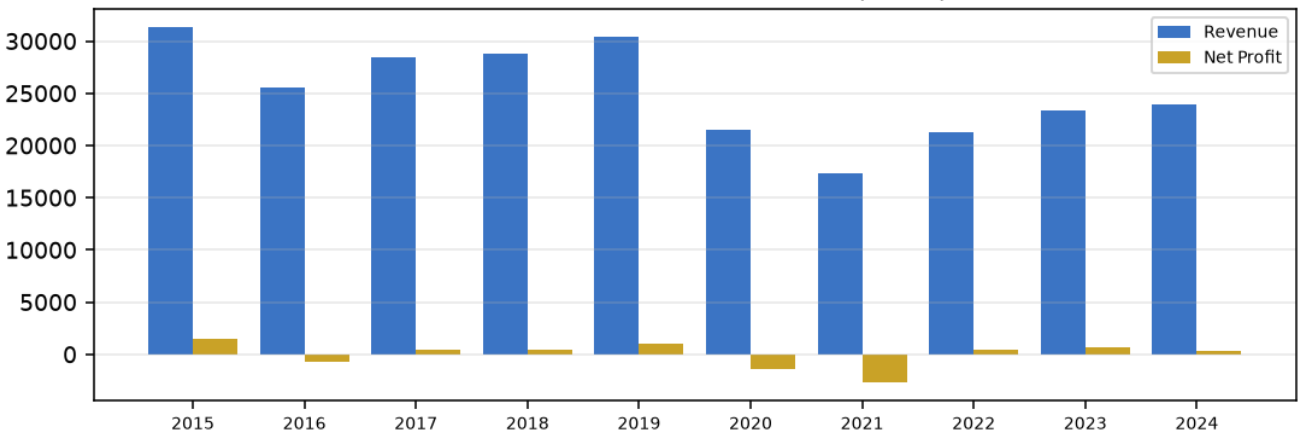
4.7

Return on Capital (%)

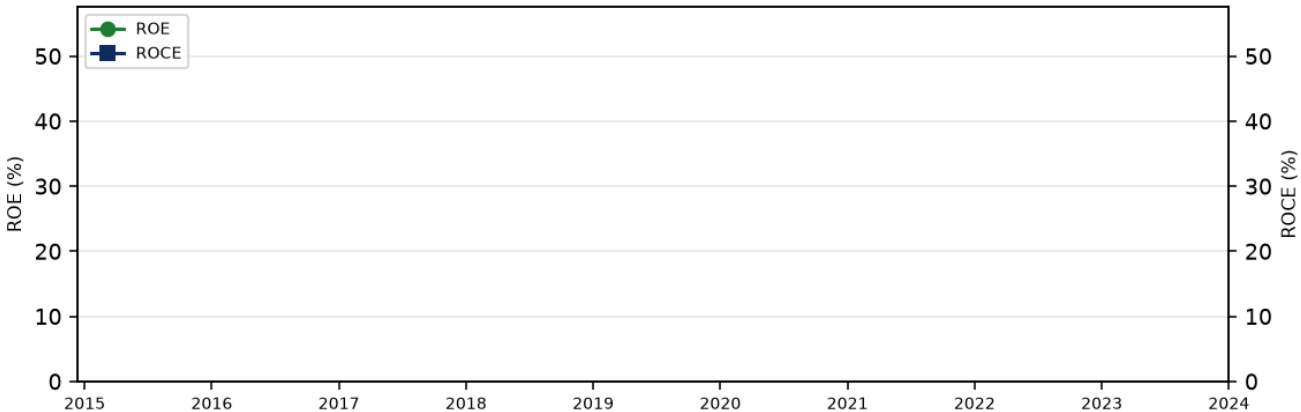
0.38

Debt / Equity

10-Year Revenue vs Net Profit (Rs Cr)



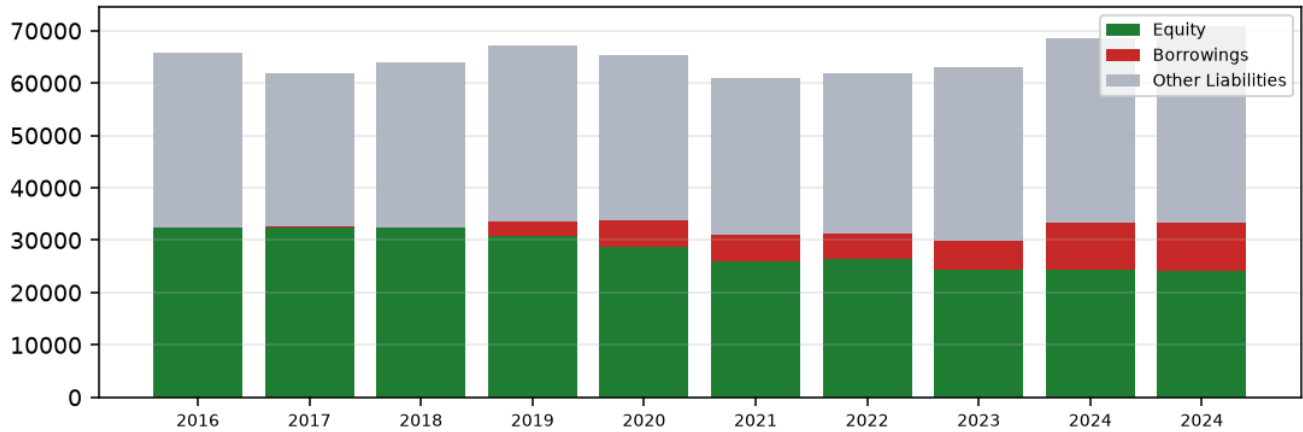
Return on Equity vs Return on Capital



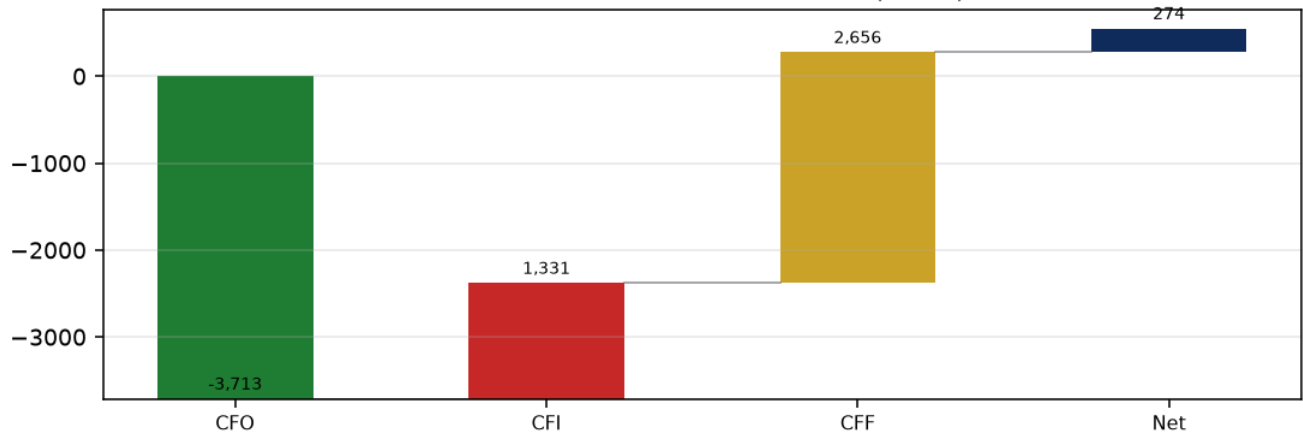
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Balance Sheet Composition (Rs Cr)



Latest-Year Cash Flow Waterfall (Rs Cr)



Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt of 8861 cr exceeding 3 times EBITDA (5.65x) limits financial flexibility
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum

Capital Allocation: Distress Signal